

Part A

1.

Jan 1

Dr. Cash 207,907

Cr. Premium on bonds payable 7,907

Bonds payable 200,000

2.

Jun 30

Dr. Bond interest expense 9,209.3

Premium on bonds payable 790.7

Cr. Cash 10,000

Dec 31

Dr. Bond interest expense 9,209.3

Premium on bonds payable 790.7

Cr. Cash 10,000

Part B

1.

Jan 1

Dr. Cash 159,741

Discount on bonds payable 40,259

Cr. Bonds payable 200,000

2.

Jun 30

Dr. Bond interest expense 14,025.9

Cr. Discount on bonds payable 4,025.9

Cash 10,000

Dec 31

Dr. Bond interest expense 14,025.9

Cr. Discount on bonds payable 4,025.9

Cash 10,000